Private Money, Public Inequality

PTA Funding in NYC Public Schools

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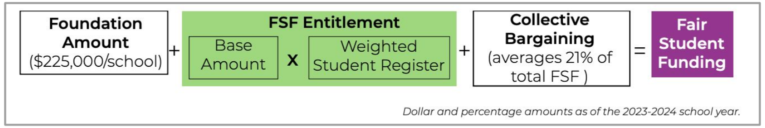
Background

Landscape of school funding in NYC

NYC public schools draw on several distinct funding streams:

Fair Student Funding (FSF) allocations

- **An equity- and needs-based allocation formula** that provides schools with *discretionary* dollars for foundational costs
  - e.g., staffing, educational programming, supplies and tech, etc.



*Graphic from our friends at the IBO: Link

- **Comprises ~55% of the average school's public funding allocations**
- **Developed in 2007** under the Bloomberg administration

*Interesting blog post from our friends at the Metro Center: Link

Landscape of school funding in NYC

NYC public schools draw on several distinct funding streams:

Fair Student Funding (FSF) allocations

Non-FSF allocations

- **Comprises the remainder of a school's public funding**
  (~45% of an average school's public budget)

- **Falls into three categories:**
  - Federal and state *categorical* funds (e.g., Title I for low-income students)
  - City programmatic funding for grants and mandated programs (e.g., Pre-K expansion)
  - Central and ancillary costs (e.g., transportation, school safety)

Landscape of school funding in NYC

NYC public schools draw on several distinct funding streams:

Fair Student Funding (FSF) allocations
Non-FSF allocations
PTA/PA fundraising • **Funds raised through individual, tax-deductible donations** (PTA/PAs are officially recognized as 501(c)(3) public charities) • **Used for enrichment activities and resources** (e.g., electives, teaching assistants, school trips, supplies)

About the PTA fundraising data

- **Public data published on InfoHub**, made available by the transparency mandates of Local Law 171 of 2018
    - As I'll discuss later, there are a number of data quality issues present in the public files. Since PTAs are 501(c)(3)s, they are required to publish their Form 990s (tax returns)—see: CauseIQ. However, this data would require a *lot* of wrangling to link back to specific schools.

- **Seven years of publicly available data:** SY 2018-19 to 2024-25
    - Contains PTA starting balances, annual income, expenditures, and ending balances by school

- ***Shout out to Clare** who did the initial exploratory work on PTA fundraising, and brought the data to my attention!

Goals of this analysis

- Inequities in New York City PTA fundraising and expenditures are widely recognized (see: this Chalkbeat article), **but a deep and systematic characterization of the data has yet to be published.**

Topics of investigation

Data Quality

Can we trust the publicly reported PTA data?

Extent of Inequities

How inequitable is PTA spending?

Is it stratified by student characteristics? (economic need, race, achievement)

Context Relative to Public Dollars

Is PTA fundraising offsetting the progressive intent of FSF and non-FSF allocations?

Trends Over Time

Are inequities increasing over time?

Data Quality

Data quality: missingness in PTA reporting

There is a substantial amount of missingness in PTA data.

I identified 3 categories of schools in the 2024-25 SY (*N*=1,454):

- **Active PTAs (*n*=831):** Schools reporting non-zero values in any of the 4 financial fields.
- **Inactive PTAs (*n*=301):** Schools reporting consistent zero values across all fields.
- **Missing Data (*n*=322):** Schools with null entries across all fields. ***How should we treat these?***

There is evidence that "missing" PTAs are not equivalent to "inactive" PTAs:

- the **mean ENI** for schools with **active PTAs** is **0.74**
- the **mean ENI** for schools with **inactive PTAs** is **0.90**
- the **mean ENI** for schools with **missing PTA data** is **0.81**

Imputing missing values as zero would likely introduce significant bias.

Therefore, all analyses for the 2024-25 SY exclude the 322 schools with missing data.

Data quality: ending balance discrepancies

There were a large number of observations where the *implied* ending balance (starting balance + income - expenditures) **differed substantially from the *reported* ending balance.** For example:

P.S. 133 William A. Butler

a difference of $488,682.65!!

Starting Bal.	Income	Expenditures	Implied E.B.	Reported E.B.
$308,365.75 +	$412,912.97 -	$128,048.85 =	$593,229.87	$104,547.22

Data quality: ending balance discrepancies

Out of the 10,321 observations in the seven years of data,

- **67%** had implied end balances that were **within 5%** of the reported end balance
- **33% exceeded 5%** of the end balance

Upon manual inspection, there were many observations where the amount for one column was expressed in *cents* rather than *dollars*.

- I was able to bring **79% of the anomalous observations within 5% of the reported end balance** by dividing one of the starting balance, income, or expenditure by 100
- However, **7%** (n=723) **of the total observations** were unresolvable

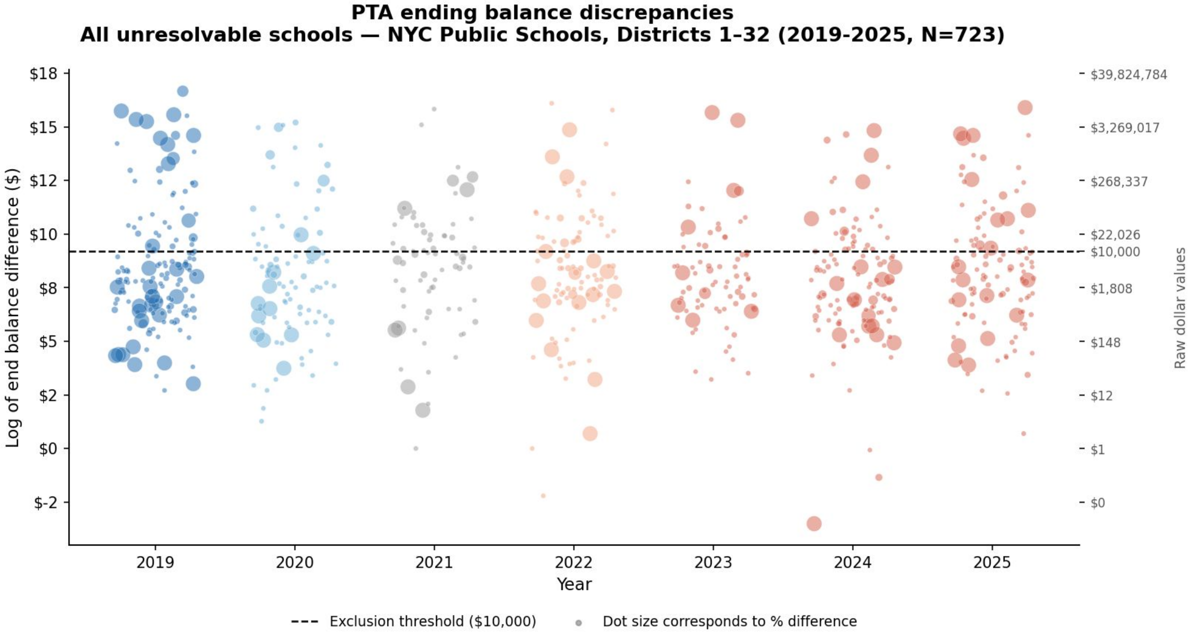
Data quality: ending balance discrepancies

Although all 7% of the discrepancies exceeded 5% of the reported value, **a majority of them represented relatively *small* dollar amounts.**

Therefore, I removed only those observations where the discrepancy exceeded *both:*

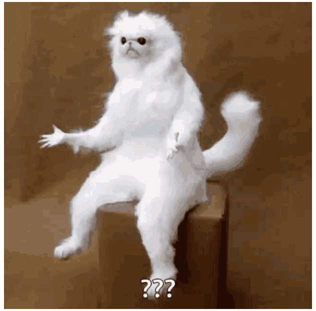
- **5% of the reported end balance,** *AND*
- An absolute value of **$10,000**.

(36 schools in 2025, 214 schools overall)



Other data quality issues

Discrepancies in end to start balances. For example:



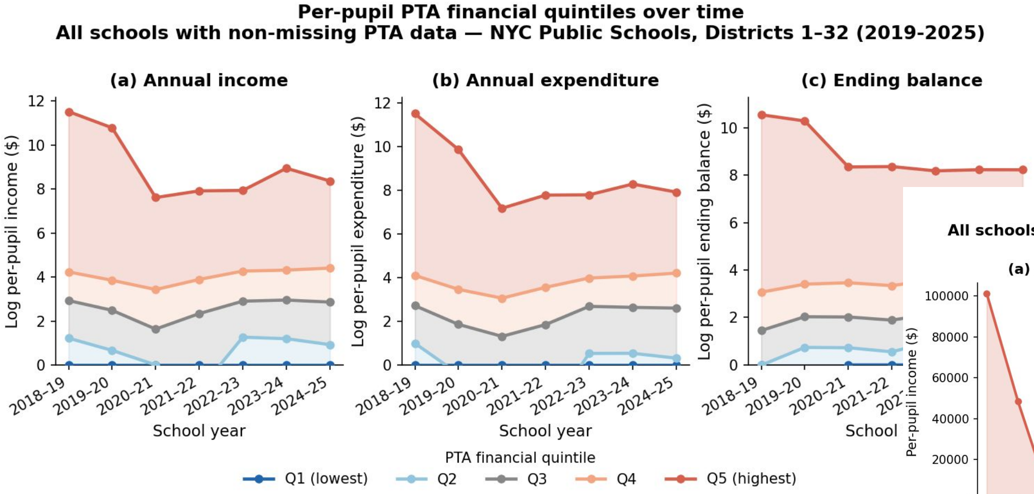
Stuyvesant High School

End Balance in 2023-24	Start Balance in 2024-25
$1,319,236.0	$12,001.77

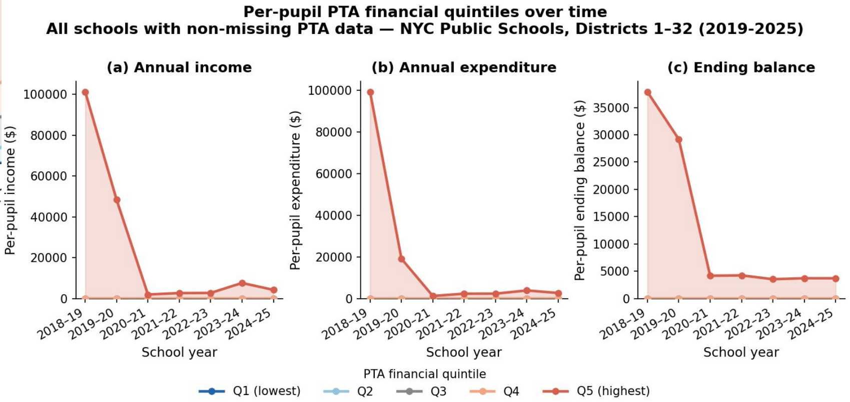
a difference of $1,307,234.23!!

Other data quality issues

Very high values in first year of reporting that mysteriously disappeared…



without taking the log of the y-axis…



Final analytical sample

- **Restricted to schools in Districts 1-32, and schools in all 3 public datasets** (PTA fundraising, Demographic Snapshot, and Fair Student Funding reporting)
- **Removed 1,965 observations with missing PTA data**
  - 322 schools in the 2024-25 SY
- **Removed 214 observations with substantial end balance discrepancies**
  - 36 schools in 2024-25
- **Final sample:**
  - 8,142 total observations
  - 1,122 schools in 2024-25

Analytical Results

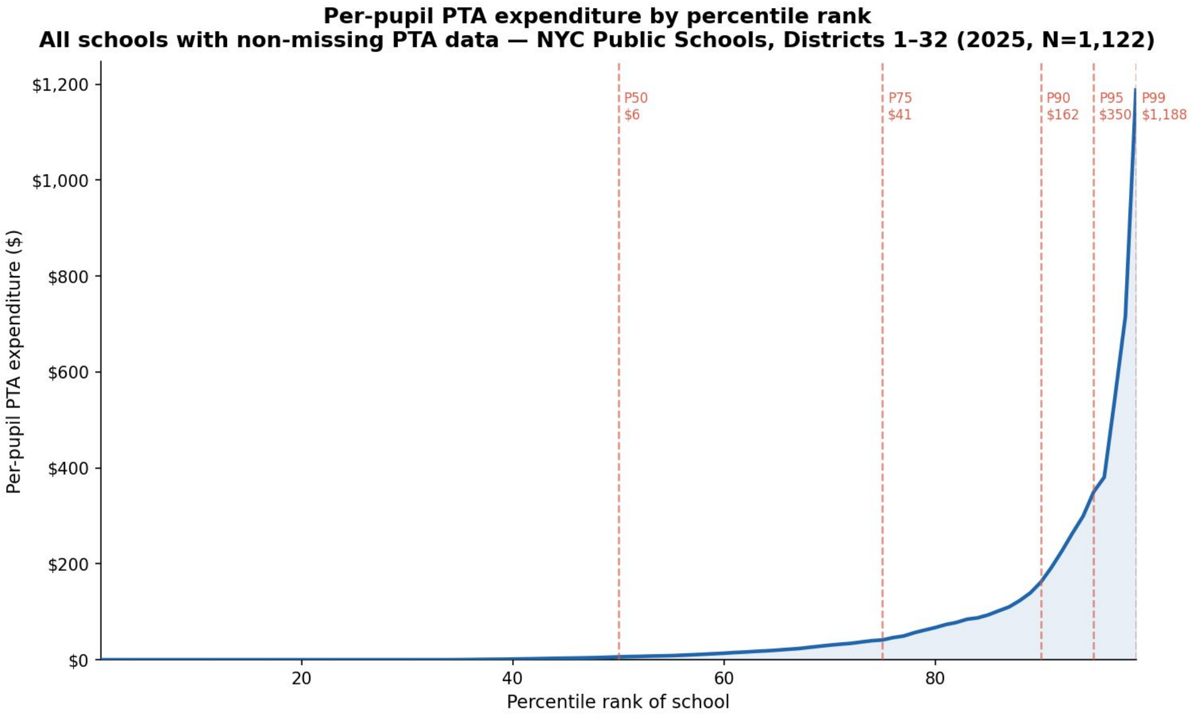
Severe financial inequities

In 2024-25, the median per-pupil expenditure (among all schools with non-missing PTA data) **was just $6.**

By contrast,

- **the 95th percentile school spent $350** per student,
- **the 99th percentile spent $1,188,** and
- **the top school spent $2,738.**

This translates to almost $2 million in total expenditures.

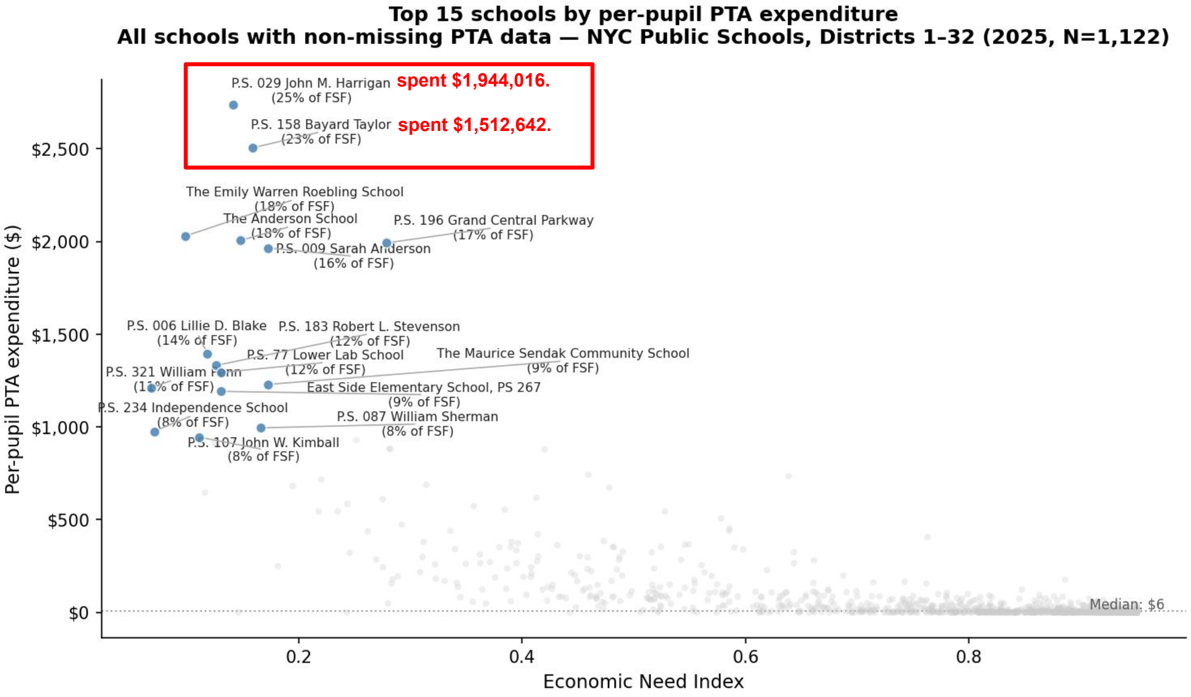


Severe financial inequities

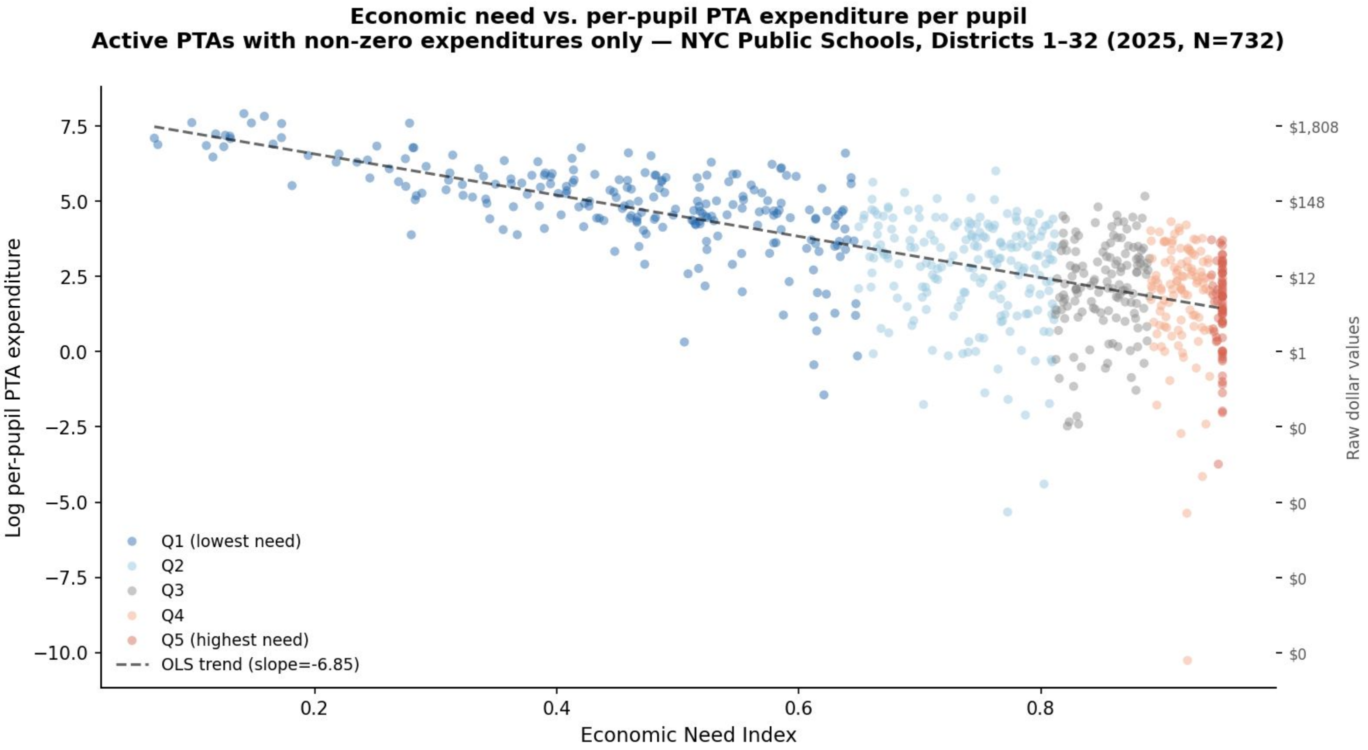
In schools with the wealthiest PTAs, **this expenditure acted almost as a "shadow budget."**

For example,

- **the top school spent**
  - **25%** of its FSF allocations
  - **17%** of all public dollars
- **the second-to-top school spent**
  - **23%** of FSF
  - **14%** of all public dollars



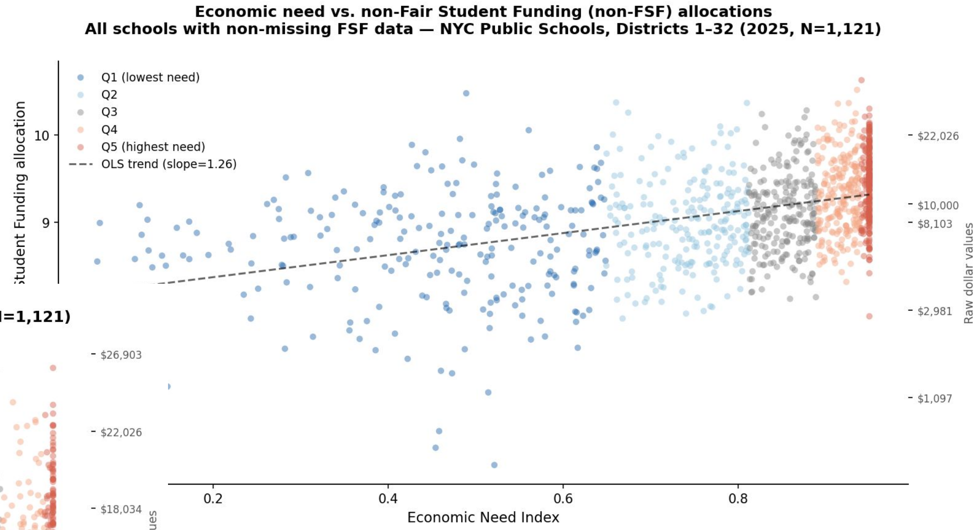
Socioeconomic stratification

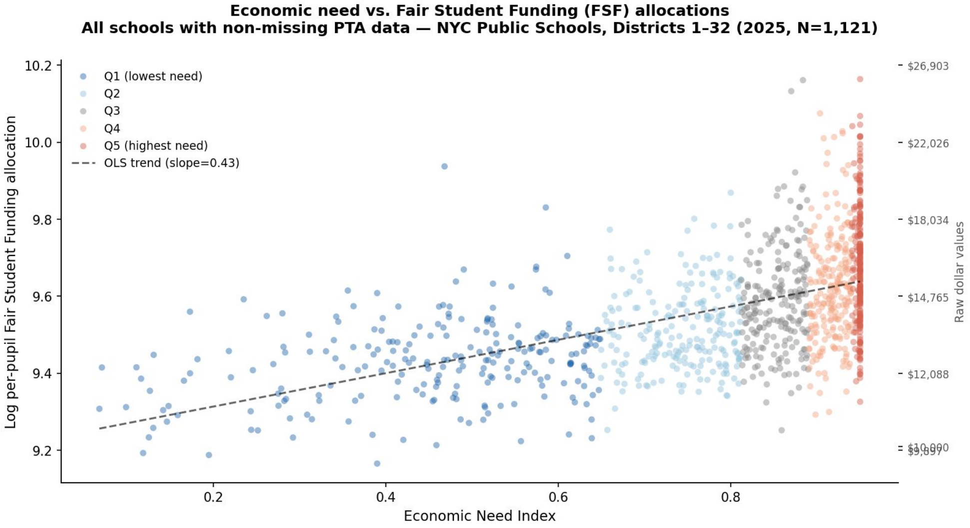


As expected, **schools serving students with more economic need** tend **to have PTAs that spend less**.

Caveat: comparison with total public dollars

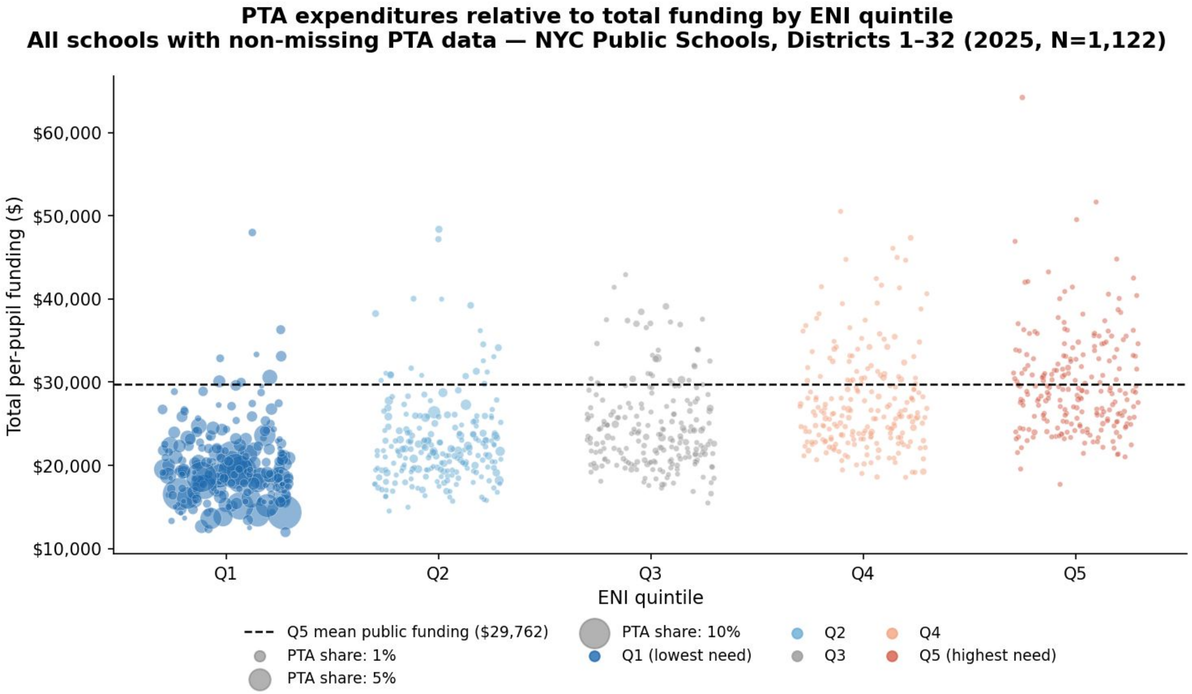
Generally, schools with greater need receive more in public funding (both in Fair Student Funding allocations and non-FSF allocations).





Caveat: comparison with total public dollars

Additionally, ***even including PTA expenditures,*** **schools in the lowest economic need quintile receive less in total funding*** compared to those in the higher quintiles.

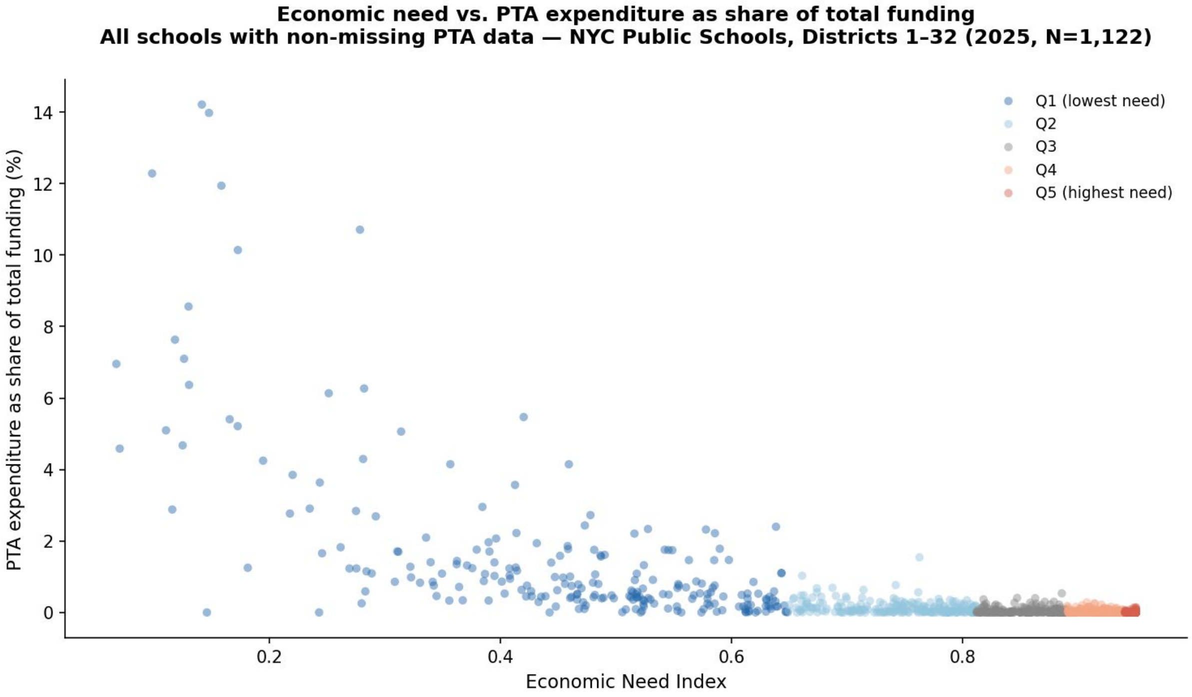


*FSF allocations + non-FSF allocations + PTA expenditures

Caveat: comparison with total public dollars

So, PTA expenditures do not offset the redistributive design of public school funding.

However, among schools with the highest PTA expenditures, PTA dollars can still comprise a significant share of total funding amounts.

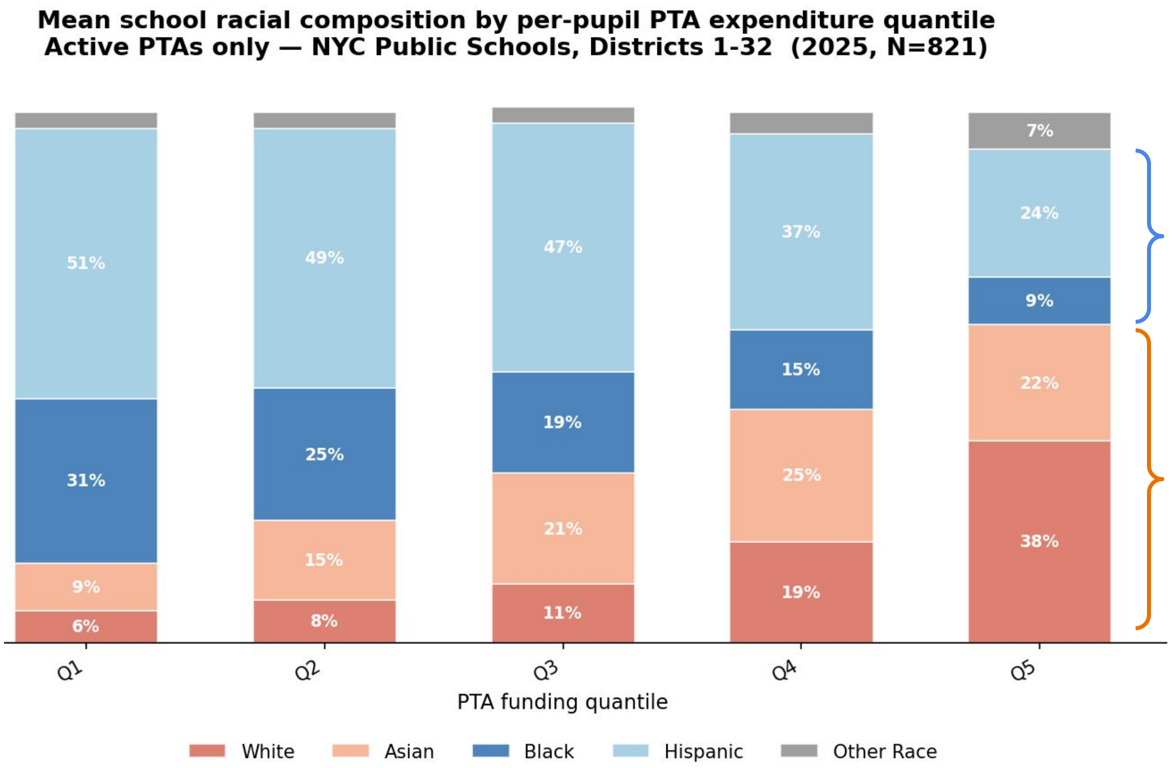


Demographic stratification

In the lowest quintile schools,

82% of students were Black or Hispanic.

15% of students were White or Asian.



In the highest quintile schools,

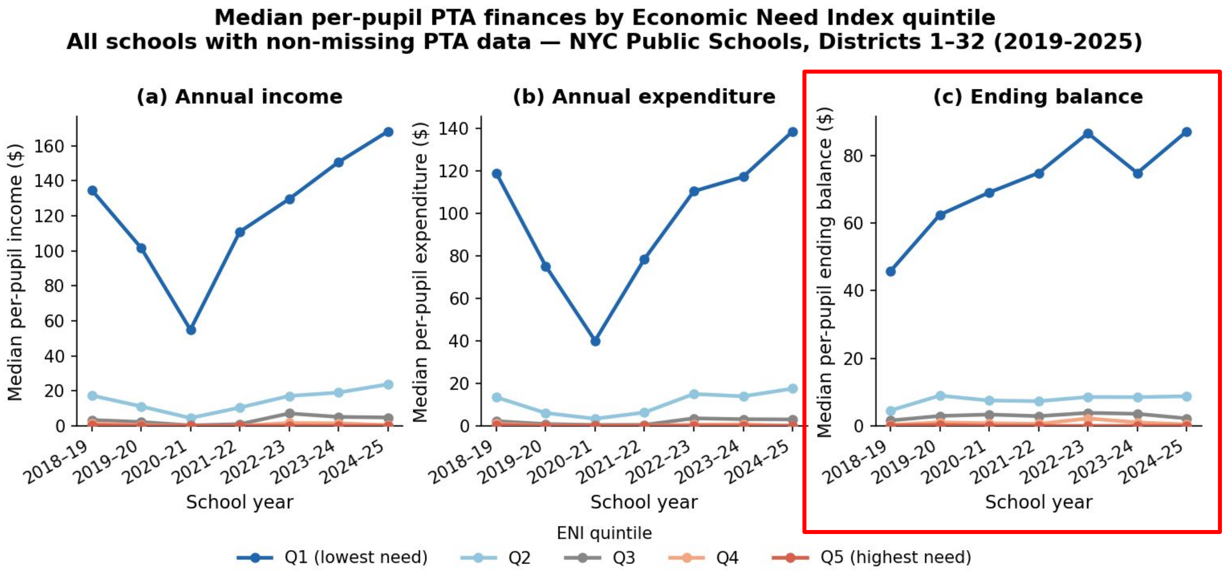
33% of students were Black or Hispanic.

60% of students were White or Asian.

Increasing inequities over time

The gap between the 20% of schools with the lowest economic need and the remaining 80% **is widening.**

Most concerningly, the top PTAs' ending balances (i.e., the money that the PTA carries over year-to-year) continue to steadily increase, suggesting that **these PTAs are *accumulating* wealth over time.**



Key Takeaways & Next Steps

Key takeaways

- **Data quality. There is a substantial amount of missingness** and a number of discrepancies in reporting that should be further investigated.
- **Extent of inequities. PTA expenditure is extremely unequal and hyper-concentrated.**
  - While median per-pupil spending is minimal, the top schools spend orders of magnitude more.
  - PTA expenditure is strongly stratified by economic need and race, with higher-spending schools serving disproportionately more affluent and more White and Asian students.
- **Context relative to public dollars.** Schools with greater need receive more in public funding and in general, **PTA funding does not offset the progressive intent of public dollars.**
- **Trends over time. Inequities are increasing over time**, with the top 20% seemingly accumulating wealth year-over-year.

Next steps and discussion

- **Would love to publish a spotlight post on this!**
- **Additional analyses?**
  - Further investigation of missingness and data discrepancies (could do some modeling to explore whether wealthier schools are more likely to have data discrepancies)
  - Additional analyses by other school characteristics (e.g., achievement)?
- **How should we use this data in our archive and research?**
- **Any other questions, thoughts, reactions?**

Thank You!

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